

FEDERAL MARITIME COMMISSION

PETITION OF CHINA OCEAN
~~SHIPPING (GROUP) COMPANY FOR~~
A PARTIAL EXEMPTION FROM THE
CONTROLLED CARRIER ACT

Petition No. P3-99

Served: April 1, 2004

ORDER GRANTING PETITION IN PART

By petition filed March 31, 1999, China Ocean Shipping (Group) Company ("COSCO" or "Petitioner") has requested that the Federal Maritime Commission ("FMC" or "Commission") partially exempt it from certain provisions of section 9 of the Shipping Act of 1984, 46 U.S.C. app. § 1708.¹ The requested exemption would enable COSCO to reduce tariff rates immediately, rather than subject to a 30-day waiting period, as currently prescribed by the Controlled Carrier Act. Notice of the filing of the Petition was published in the Federal Register on April 8, 1999, 64 Fed. Reg. 17181 (April 8, 1999), and interested parties were given until September 7, 1999 to file comments. 64 Fed. Reg. 25506 (May 12, 1999).

On January 22, 2004, in light of information provided by the Maritime Administration and the Department of State, the Commission ordered the comment period re-opened until February 23, 2004 to allow all persons interested in the Petition a full and fair opportunity to comment. 69 Fed. Reg. 4158 (January 28, 2004). For the following reasons, and with the explanation of the extent of the exemption set forth below, the Commission has determined to grant the Petition and exempt COSCO from the

¹ Section 9 of the Shipping Act is known popularly as "The Controlled Carrier Act."

otherwise applicable provision of the Controlled Carrier Act, section 9(c) of the Shipping Act, 46 U.S.C. app. §1708(c), which prohibits COSCO from reducing its tariff rates sooner than the 30th day after the date of publication. We decline, however, to grant the request to make this a permanent exemption.

THE PETITION

A. Relief Sought

COSCO explains that ocean common carriers, with the exception of controlled carriers, are permitted to reduce their tariff rates effective immediately upon publication.² Only controlled carriers³ are subject to the 30-day waiting period for

² Section 8(d) of the Shipping Act, 46 U.S.C. § 1707(d) requires that all common carriers, controlled or otherwise, give 30 days notice for rate increases.

³ Section 3(8) of the Shipping Act defines “controlled carrier” as:

an ocean common carrier that is, or whose operating assets are, directly or indirectly, owned or controlled by the government under whose registry the vessels of the carrier operate; ownership or control by a government shall be deemed to exist with respect to any carrier if--

(A) a majority portion of the interest in the carrier is owned or controlled in any manner by that government, by any agency thereof, or by any public or private person controlled by that government; or

(B) that government has the right to appoint or disapprove the appointment of a majority of the directors, the chief operating officer, or the chief executive officer of the carrier.

reductions in tariff rates, as set forth in section 9(c) of the Shipping Act.⁴

The relief sought by COSCO would be more extensive than the limited exemption the Commission has already granted to COSCO. On March 27, 1998, the Commission granted COSCO a limited exemption from the 30 day waiting requirement of section 9(c) of the Shipping Act, allowing COSCO to decrease its tariff rates to levels that would meet or exceed those of its competitors with no waiting period. 1998 COSCO Order. In the instant Petition, COSCO seeks authority to reduce rates on less than 30 days notice, regardless of whether it is meeting a rate published by a competitor.

COSCO emphasizes the procedural, rather than substantive, nature of the requested relief; the requested exemption would affect only the timing of rate reductions, and not the prohibition of section 9(a) of the Shipping Act against a controlled carrier charging rates that are “below a level that is just

⁴ Section 9(c) of the Shipping Act states, in relevant part: “Notwithstanding section 9(d) of this Act and except for service contracts, the rates, charges, classifications, rules, or regulations of controlled carriers may not, without special permission of the Commission, become effective sooner than the 30th day after the date of filing with the Commission.” COSCO would include “charges, classifications, rules or regulations” within the term “rates.” COSCO at 2 (incorporating the arguments it had made in a prior exemption proceeding, Petition No. PI-98, Petition of China Ocean Shipping (Group) Company for a Limited Exemption from Section 9(c) of the Shipping Act of 1984, 28 S.R.R 144 (1998)(hereinafter “1998 COSCO Order”)).

and reasonable.”⁵ Also, COSCO points out that the relief sought would affect only tariff rates; under the Shipping Act, service contract rates are not subject to the 30-day delay.

B. Section 16 Test

COSCO asserts that its request meets the criteria under which the Commission may grant an exemption, as set forth in section 16 of the Shipping Act, 46 U.S.C. app. § 1715 (“section 16”). Recent amendments made to section 16 by the Ocean Shipping Reform Act of 1998 (“OSRA”), COSCO argues, were intended to encourage the Commission to use its exemption authority to undertake additional deregulation consistent with the policies of Congress. Petition at 3. OSRA’s amendments to section 16 removed two of the four previous exemption criteria; presently, COSCO points out, the Commission must examine only whether the proposed exemption would (1) result in a substantial reduction in competition, or (2) be detrimental to commerce. Id.

⁵ Section 9(a) of the Shipping Act reads, in pertinent part: Controlled Carrier Rates. No controlled carrier. may maintain rates or charges in its tariffs or service contracts, or charge or assess rates, that are below a level that is just and reasonable, nor may any such carrier establish, maintain, or enforce unjust or unreasonable classifications, rules or regulations in those tariffs or service contracts. An unjust or unreasonable classification, rule or regulation means one that results or is likely to result in the carriage or handling of cargo at rates or charges that are below a just and reasonable level.

1. Substantial Reduction in Competition

COSCQ argues that granting the requested relief would not result in any substantial reduction in competition, thereby meeting the first criterion of section 16. COSCO asserts that the requested relief would promote and enhance competition, because without such relief COSCO is foreclosed from competing with non-controlled carriers for the business of shippers who are unwilling to commit to shon-term service contracts. Such shippers, it is argued, will not use COSCO's services, but rather will turn to COSCO's competitors who have the ability to reduce tariff rates without a waiting period. This flexibility, COSCO further argues, is needed "simply to meet the needs of its existing customers." Id. at 6.

The Petition (submitted prior to the effectiveness of OSRA) anticipates that most cargo will move under service contracts, rather than tariffs. As such, COSCQ argues, it is expected that the 1998 COSCO Order would be of minimal usefulness to COSCO because of the likelihood that "there will be no published, competing rate against which to compare COSCO's proposed rate action." Id. at 7. Even though COSCO has the ability to reduce rates immediately through the use of service contracts, COSCO argues that such an option is of limited usefulness for attracting or keeping those customers who would rather use a tariff rate and not enter into a service contract, no matter how short term that contract may be. Shippers who do not wish to enter into shon-term service contracts will be lost to COSCO's competition, it argues; this is especially true for COSCO's ability to compete for oversize or project cargoes, which typically do not involve service contracts, but rely on tariff-based charges. Id. at 8.

2. Detriment to Commerce

The second prong of the section 16 exemption test is whether the requested exemption would be detrimental to commerce.

COSCO argues that allowing it to reduce rates with immediate effectiveness is “the essence of competition in a free market economy and further that granting such an exemption is “consistent with section 2(4)’s mandate to promote growth by ‘placing a greater reliance on the marketplace.” Id. at 8 (quoting 46 U.S.C. app. § 1701(4)). COSCO asserts that low prices are good for shippers and good for market economies generally, and that the requested relief will make it easier for shippers to obtain lower prices, thereby stimulating competition and benefit&g commerce. Id. at 9. Furthermore, as granting the exemption would serve “to support and encourage capital investment in the trade, and to create an environment where the rules governing competition for business in the trade are certain and predictable, COSCO requests that the exemption be made permanent.” Id. at 12.

C. Other Arguments

1. The Controlled Carrier Act Does Not Target COSCO

COSCO argues that it is not the type of carrier Congress intended to target under the Controlled Carrier Act because its primary goal is profitability, not the advancement of a political or national agenda. Id. at 10. COSCO further contends that it is not the type of controlled carrier to which the Controlled Carrier Act was intended to apply, asserting that U.S.-flag carriers, which are assumed to operate under “normal commercial considerations,”

also receive government subsidies and enjoy protected markets. Id. at 11. COSCO argues that the requested relief would not give COSCO any unfair competitive advantage, but merely maintain the pre-OSRA status quo with regard to the bilateral (U.S.-China) trade and level the playing field in the other U.S.-foreign trades. Id. Also, COSCO points out that the Commission has never challenged a CQSCQ rate based on Controlled Carrier Act standards. Id. at 10.

2. The Exemption Will Benefit the Bilateral Relationship

CQSCQ argues that granting the requested exemption would benefit general U.S. policy goals, as it would generally improve the bilateral maritime relationship. Id. at 11. COSCO asserts that the Chinese government has shown its good faith in the context of the December 1997 bilateral negotiations by approving U.S. carrier Sea-Land's Tianjin terminal joint venture. Conversely, COSCO argues, it was a show of bad faith for Congress to expand the Controlled Carrier Act to remove the exclusion of the bilateral trades in the OSRA amendments to the Shipping Act.⁶ Id.

COMMENTS

A. Initial Comment Period -- Comments in Support

COSCO submitted supporting comments from many of its shipper, freight forwarder/customs broker and non-vessel-

⁶ COSCO also requests clarification of the application of the 1998 CQSCQ Order to the bilateral trades after the effectiveness of OSRA.

operating common carrier (“NVOCC”) customers.⁷ These comments generally portray COSCO as a “responsible carrier” and support the grant of an exemption which would enable COSCO to lower tariff rates with no waiting period.

COSCO also submitted supporting comments from: Titan Steel Corporation; Pfizer, Inc.; Allen’s Family Foods, Inc.; Townsends, Inc.; Boston Logistics, Inc.; Asian Metals & Alloys Corp.; MSAS Global Logistics, Inc.; Polonez Parcel Service, Inc.; Ionics, Inc.; Del-Tank International, Ltd.; and the MI Group. In contrast to the other comments supporting the Petition, these comments appear to address the issue in COSCO’s 1998 exemption request; they refer specifically to matching competitors’ prices (as opposed to having the ability to beat those prices) and do not address the instant Petition’s request to be

⁷ They are: Evapco, Inc.; Metro International Trading Corporation; McQuary International; Kamden International Shipping, Inc.; Shiitech, Inc.; Consolidated Factors, Inc.; Fresh Western International, Inc.; Kanematsu USA, Inc.; Paramount Export Company, Nichirei Foods, Inc.; Twin City Foods, Inc.; Mincepa Inc., K-Swiss; DSL Transportation Services; Global Transportation Services, Inc.; Pacific/Atlantic Crop Exchange; Action Freight & Logistics USA, Inc.; Golden Gem Growers, Inc.; Louis Dreyfus Export Corp.; Beical International (USA) Corp.; LandOcean Management, Inc.; Medical Books for China International; AEI Ocean Services; BWI (USA), Inc.; Trans USA Corp.; Tanimura and Antle; Porky Products, Inc.; ANRO; Suncoast Moving and Storage; Hellman International Forwarders, Inc.; Ponica Industrial Co., Ltd.; Norman Kreiger, Inc.; Freight Solutions International; Zen Trading Co., Ltd.; Forte Lighting, Inc.; Zen Continental Co., Inc.; AFS Logistic Management, Inc.; Coaster Co. of America; Edward Mittelstaedt, Inc.; Chase Leavitt (Customhouse Brokers), Inc.; Inter-Freight Logistics, Inc.; Calcot, Ltd.; and Phoenix International Freight Services, Ltd.

exempt from any price comparison for immediately-effective tariff rates.

A comment from AEI Ocean Services expresses its regret that COSCO can “no longer participate in 24 hour rate filings” and by “matching” into [sic] a competitor’s rate when 24 hour rate filing was valid.” The Commission also received comments in support of the Petition from the Baltic and International Maritime Council (“BIMCO”), of which COSCO is a member.

In September, 1999, the Commission received comments from Zhang Liyong, President of China Ocean Shipping Company Americas, Inc. (“COSCO Americas”). These comments discuss COSCO’s inability to handle a “significant amount of freight” for customers who do not wish to sign service contracts, and further state that COSCO’s inability to react with rate reductions in a timely fashion has driven customers away.” COSCO Americas further complains that handling smaller transactions via service contract rather than rate reduction in a tariff has greatly increased its administrative costs. Finally, COSCO Americas asserts that its membership in the Transpacific Stabilization Agreement and the Westbound Transpacific Stabilization Agreement is evidence of COSCO’s commitment to “responsible pricing policies.”

Senator Patty Murray, together with Representatives Norm Dicks and Jim McDermott (all of Washington) also filed

⁸ This was presumably due to the change made by OSRA that removed the exemption for the bilateral trade from the Controlled Carrier Act.

⁹ This problem had been predicted by the Petition. See Petition at 7.

comments in support of the Petition. They contend that if the Commission fails to grant the exemption, the deregulatory aims of OSRA would be undermined. Further, they urge that a “favorable decision on the COSCO petition would restore the status quo before OSRA” but would not otherwise affect the Commission’s right to investigate the rates. They remark that COSCO has been calling at the Port of Seattle for the past 20 years and that the State of Washington wishes to preserve this relationship. Finally, they encourage the Commission “to enable COSCO to compete fairly with privately owned shipping companies” and assert that to prevent such competition would be contrary to a congressional commitment made in OSRA to a “free and open trading system.”

B. Initial Comment Period -- Comments of APL, Ltd. and Sea-Land Service, Inc.

American President Lines, Ltd. (“APL”) and Sea-Land Service, Inc. (“Sea-Land”) filed comments urging the Commission to defer action on the Petition until it can ascertain the following: (1) the Chinese government’s position on current and proposed Chinese regulations applicable to carrier rates in the China trades; (2) the progress of U.S.-China bilateral maritime negotiations; and (3) the effect of the entrance of a new Chinese controlled carrier in the transpacific trades. APL and Sea-Land commented that the Petition seeks additional relief from restrictions imposed by the Controlled Carrier Act “at a time when China’s rate regulation imposes significant restrictions on the ability of carriers to effectuate rate changes.” APL/Sea-Land Comments at 1. They asserted that the Chinese authorities have not determined which of a number of interpretations of these rate regulations those authorities will follow or that they consider to be correct. They pointed out that while the Chinese regulations appear to prohibit all carriers from altering rates except upon 45 days notice, the

Shanghai Shipping Exchange has interpreted the regulations to allow rate changes on 30 days notice and “account specific rates” to be changed on seven days notice.

Further to the unsettled state of maritime regulation and law in China, APL and Sea-Land noted the expired Sino-U.S. bilateral Maritime Agreement and the upcoming round of talks (then) scheduled for September 20, 1999. Finally, they asserted that the entrance of another Chinese controlled carrier (namely, China Shipping Container Lines) in the transpacific trades also made the situation difficult to assess. For these reasons, APL and Sea-Land urged the Commission to withhold action on the Petition “in order to provide the opportunity for clarification of China’s regulations and an assessment of the impact which the exemption COSCO seeks is likely to have on the trade.” Id. at 2.

C. Further Comments

On January 22, 2004, the Commission determined to allow further comments as the Commission had been informed by the Maritime Administrator and the Under Secretary of State for Economic, Business and Agricultural Affairs, of their recommendations to the Commission in light of the U.S.-China bilateral Maritime Agreement concluded on December 8, 2003 (“Agreement”).

1. Comments of the Executive Agencies

The Commission has incorporated into the record of this proceeding letters it received from the Maritime Administrator, William G. Schubert, and from the Under Secretary of State for Economic, Business and Agricultural Affairs, Alan Larson, reporting on the recently signed Agreement. In view of the progress made in the Agreement, both the Maritime

Administrator and the Under Secretary urge the Commission to favorably consider the petitions of three Chinese controlled carriers currently under review by the Commission.¹⁰ The Maritime Administrator also urged U.S. carriers and shippers to support these petitions.

2. Shipper Comments

The National Industrial Transportation League (“NITL”), the Agriculture Ocean Transportation Coalition (“AgOTC”), and the Unaffiliated Shippers of America, Inc. and Ship Us of A.COM, Ltd. (“USA Inc.”) also filed comments in response to the Commission Order of January 22, 2004.¹¹

AgOTC, asserting that the shippers it represents are “the voice of U.S. agricultural exports in ocean transportation policy and further that agriculture is the largest U.S. export by volume and by value, states that the controlled carrier provisions of the Shipping Act are contrary to the interests of U.S. agriculture, U.S. taxpayers and to the U.S. economy. AgOTC at 1. AgOTC urges the Commission to grant the exemptions sought by COSCO and China Shipping because the controlled carrier provisions restrict the ability of those carriers to provide the most competitively priced service and limit the ability of U.S. agriculture exporters to compete in the foreign marketplace. Id. Further, AgOTC

¹⁰ In addition to the instant Petition, they are: Petition No. P4-03, Petition of China Shipping Container Lines Co., Ltd. for Permanent Full Exemption from the First Sentence of Section 9(c) of the Shipping Act of 1984 ; and Petition No. P6-03, Petition of Sinotrans Container Lines Co., Ltd. (Sinolines) for a Full Exemption from the First Sentence of Section 9(c) of the Shipping Act of 1984, as Amended.

¹¹ These commenters generally represent shippers’ interests, although NITL’s membership includes carriers as well.

believes, the only conceivable beneficiaries of these provisions are other foreign steamship lines, as “there are not any major U.S. steamship lines in the primary . . . international trades of importance to U.S. agricultural exports.” Id.

USA Inc. asserts that its member, non-profit shippers’ associations whose members ship goods in the Asia-U.S. trade, have a “vital interest in promoting competition in ocean transportation services in these trades for the fullest extent possible.” USA Inc. at 2. USA Inc. supports the three petitions and comments that these carriers “offer a substantial amount of capacity in the Transpacific trade lanes” and that the limitations placed on these carriers act to the detriment of shippers as they deprive them of the lower rates that would result if these carriers were able to compete on rates in this trade. Id. Further, USA Inc. argues, the original purpose of the Controlled Carrier Act to protect American carriers from unfair competition from foreign government-owned carriers is no longer relevant as significant American carriers no longer operate in the Trans-Pacific trades. Id. at 2-3. Therefore, USA Inc. argues, the harm caused U.S. shippers, importers and consumers outweighs any possible benefits to such carriers. Id. at 3. USA Inc. asserts that there has never been any evidence that these carriers have engaged in the type of below cost, unfair rate competition Congress sought to prevent by the Controlled Carrier Act. Id. at 3.

NITL, whose members “represent all aspects of the nation’s transportation system” supports the COSCO Petition. NITL at 2. NITL argues that it would be within the Commission’s authority under section 16 and consistent with its statutory mandate to “promote the growth and development of United States exports through competitive and efficient ocean transportation and by placing a greater reliance on the marketplace” for the Commission to grant the exemption

COSCO requests. Id. at 5-6. Further, NITL notes, the exemption is largely procedural and will not affect the Commission's ability to investigate COSCO's pricing practices and prohibit the use of rates it did not find just and reasonable. Id. at 6.

Both USA Inc. and NITL believe now that the Agreement has been concluded, there should be no obstacle to the granting of this petition and that the Commission should act expeditiously to grant it so that American shippers and consumers can benefit from the results of increased competition as soon as possible. USA Inc. at 3; NITL at 3-4. NITL believes that granting the COSCO Petition is consistent with the Agreement, and remarks on the support already provided by the negotiators of that Agreement. NITL at 3-4.

3. Carrier Comments

The Commission received comments from APL and Maersk Sealand ("MSL"). APL notes that the recently-concluded Agreement grants shipping companies and container transport service companies of each of the parties to that Agreement certain rights to conduct business in the territories of the other. Specifically, APL's comments outline the status of its ability to engage in the activities outlined in that Agreement. APL asserts that a number of the applications it has made to the Chinese to extend existing business licenses to encompass authorities outlined in the Agreement, to convert liaison offices to branch offices, or to establish new branch offices in a number of Chinese cities already have been granted.

APL is encouraged that the remaining applications will be granted in the near future. However, APL states that it has been informed by Chinese authorities that its requests for approval to

perform vessel agency services and multimodal or combined transport activities and to own vehicles and other equipment necessary to its operations, will not be acted upon until the Commission acts favorably on the three petitions of Chinese controlled carriers now before it. On that basis, APL states that it does not object to the Commission granting the relief sought by COSCO.

MSL believes that the Commission “now has an adequate basis to grant section 16 exemptions sought” and accordingly supports the relief requested by the Petition. MSL at 1.

DISCUSSION

A. Commission Exemption Authority

Section 16 provides that the Commission may exempt any activity of persons subject to the Shipping Act from any requirement of that Act, if it has found the exemption will not result in substantial reduction in competition or be detrimental to commerce.

1. Substantial Reduction in Competition

COSCO's arguments regarding carrier competition appear to have merit. COSCO's burden as petitioner is to establish that the exemption will not result in a substantial reduction in competition. COSCO goes further, however, and argues persuasively that, at least in one regard, the exemption it seeks will actually promote competition; allowing it more flexibility to reduce its rates effective immediately without reference to competitors' rates would seem to result in an instantaneous increase in competition among carriers. This position appears to be amply supported by the shippers' comments on the Petition,

which demonstrate that some shippers would like to use COSCO's service but do not because of the 30-day delay. Furthermore, COSCO's assertions are unopposed by any commenters. We also note that the Commission has in the past never acted to prevent the implementation of any COSCO tariff rate within the initial 30-day period on the basis that it may not be just and reasonable. Thus, we find that there is no evidence that granting this Petition will result in a substantial reduction in competition. On the contrary, it may well be that, due to the market forces at play, there will be an increase in competition.

2. Detriment to Commerce

COSCO's uncontested argument that the exemption will not be detrimental to commerce also appears to be valid. By allowing COSCO to compete more effectively for time-sensitive cargo, shippers will be given more service options in a more competitive carrier market. Again, this point is well-supported by COSCO's customers' statements and is unopposed. No comments advanced the position that granting COSCO's request will be detrimental to commerce.

We find that COSCO's request is a narrowly-tailored, procedural exemption. Eliminating the 30-day requirement would not effect a major change in the current system of regulation of controlled carriers. While the Commission's substantive authority to review and suspend use of unreasonably low rates continues to provide important protections for the industry, the 30-day requirement of section 9(c) of the Shipping Act has declined in significance as the industry and the Commission's processes have evolved.

B. Other Considerations

APL and Sea-Land (now MSL) have indicated that they no longer have many of the concerns about the progress of U.S.-China bilateral maritime negotiations previously expressed in their comments. Moreover, we believe that these concerns are more properly evaluated and addressed in the Commission's proceeding in Docket No. 98- 14, Shipping Restrictions, Requirements and Practices of the People's Republic of China.

In light of APL and Sea-Land's original concerns about the effects of controlled carriers and the entrance of Chiia Shipping Container Lines in the U.S.-China trades, we wish to assure the U.S. shipping public that the Commission may from time to time reexamine this exemption pursuant to the provisions of section 16. The Commission retains the power to revoke any exemption it has granted. Since COSCO's limited exemption was granted by the Commission in 1998, the Commission has seen no ill effects, although the exemption has been invoked by COSCQ over 100 times to match competitors' tariff rates. However, inasmuch as the relief this Order grants is much broader, the Commission will instruct its staff to closely monitor its effects. COSCO will remain fully subject to the substantive provisions of section 9.

We find COSCO's request for clarification of the application of the 1998 COSCO Order now moot as this Order broadens the prior exemption. However, in the interest of clarity, the exemption granted by this Order is applicable to COSCO's tariffs in all U.S.-foreign trades.

The Commission declines to make this exemption permanent, as the Petition requests. The present exemption is granted without a time limit or provision for expiration. It should provide the same degree of stability and predictability for

COSCO's operations as any order made by regulation would. However, a specific provision for "permanence" of this Order would abrogate the Commission's authority under section 16 and its obligations under section 9.

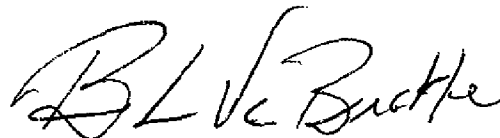
CONCLUSION

The Commission finds that COSCO has met the two-part test of section 16. Therefore, the request for exemption is granted. The Commission retains its full authority to revoke the instant exemption subject to the requirements of section 16 of the Shipping Act of 1984, 46 U.S.C. app. § 1715.

THEREFORE, IT IS ORDERED, That China Ocean Shipping (Group) Company ("COSCO") is hereby granted a limited exemption from the requirements of 46 U.S.C. app. § 1708(c) and may reduce its tariff rates effective upon publication pursuant to 46 C.F.R Part 520; and

IT IS FURTHER ORDERED, That this proceeding is discontinued.

By the Commission.



Bryant L. VanBrakle
Secretary